

Bilateral Inefficiencies in Keynesian and New Keynesian Models

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Bilateral efficiency: Minimum amount of cooperation

- if a pair meets & can do something that generates a joint surplus
→ they do it
- if a pair meets & might do something that generates a negative joint surplus
→ they do not do it
- If bilateral efficiency is violated → there are Pareto improvements available.

Traditional models of price/wage rigidity do not satisfy bilateral efficiency:

- Barro (1977) critique of models with wage rigidity: firing workers b/c of wage rigidity violates bilateral efficiency
→ be better off by renegotiating a lower wage [long-term relationship b/w worker & firm generates a positive surplus]
→ firm & worker can generate positive joint surplus by continuing to work together at lower wage
→ if there is a joint surplus to share → there is a price/wage that both parties go home with positive surplus.

- Huo & Ros-Rull (2020) critique of New Keynesian models w/ Calvo pricing.
 - product market. sometimes $MC < MR$
 - negative joint surplus
 - firm & customer better off by not trading
 - labor market, sometimes $MPL < MRS$
 - negative joint surplus
 - firm & workers better off by not trading
 - ⇒ many Pareto improvements that are not implemented

Conclusion: in standard models of price/wage rigidity, bilateral inefficiencies occur

→ problematic